



WHAT NEXT

- ▶ Reforms under centralised IT-enabled system (CITES 2.01) are under way
- ▶ Next-gen reforms to make EPFO future-ready, allow faster claim processing, withdrawal through UPI, and reduce need to visit PF offices
- ▶ Discussions on EPFO 3.0 ongoing as government looks to roll out universal social security programme
- ▶ New website interface for users, mobile app planned
- ▶ Use of AI, ML, business analytics also proposed



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“The EPFO is trying to reform its systems by cutting down on unnecessary approvals and compliances, which increased time for processing”

Madhu Damodaran, Member, Executive Committee, Employers' Federation of India & Member, Central Board of Trustees (CBT) of the EPFO, says the EPFO must be given credit for its focus on automation and digitisation and matching Aadhaar with the UAN. “All this has helped employees and employers do transactions in a more simplified and efficient manner. Now, subscribers whose KYC is verified and details of Aadhaar and UAN matched can do several transactions, including transfers and withdrawals, easily,” he says.

CITES 2.01

A major part of the reformed EPFO is the overhaul of its IT infrastructure since November 2024, which is no easy task given that it has 123 databases in offices across countries with 127 crore records. The new computers and IT hardware for all its offices were in place by early January 2025. “The new IT system has, in fact, been the trigger for the overall revamp of the EPFO,” says a source. As part of this exercise, the EPFO is putting in place new hardware, consolidating databases and enhancing the software model being used by its field offices that was implemented in 2010-12. “The multipronged approach will make the system much more efficient and further reduce processing and settlement times,” says a source.

Known as CITES 2.01 or Centralised IT Enabled System, this IT overhaul project is being undertaken by the EPFO with the Centre for Development of Advanced Computing as its technology partner. Oracle is doing the database migration. The EPFO is also working with the National e-Governance Mission under MeitY on the project, which has a budget of about ₹250 crore. It was expected to be completed by March 31, 2025, but only about 75% of the work has been done so far. The fresh deadline for the transition is later in May or the first fortnight of June. “Multiple iterations and checks have to be done as the databases are consolidated. One has to be extremely careful so that not even a single record is missed,” says an official.

Further, with monthly contributions and continuous claim settlement, the transition has to be sometimes done with lags and stops. For instance, between the 10th and 15th of every month, employers file monthly returns with the EPFO, while between the 24th and the 30th of every month, the claims are settled. “These processes can’t be avoided and have contributed to the delay in the full rollout of CITES 2.01,” says an official.